

money, whether they needed it or not. These borrowers would blow up the money and later had to deal with the strong-arm tactics of the loan agents-turned-recovery agents when they failed to repay. Some killed themselves.

There was a conspiracy theory too, that SKS's growing presence had threatened the livelihood of many politicians who were thick with the moneylenders and had a vested interest in keeping the poor poor. The incidents of suicide were exaggerated to weaken the reputation of MFIs in the state. The developments hurt SKS very badly because Andhra was its biggest market in terms of its loan book. The company never recovered from that blow, and by the end of the year, the stock price was down to Rs 600, nearly 40 per cent below the IPO price.

So much for long-term investing, I thought, as I went through the chain of events. The one who had subscribed to the IPO and decided to sell out within a month would now look smarter than the one who was stilling holding the stock.

Meanwhile, as the market rose, my own bank account continued to swell steadily. The uptrend till August had been steady, but in September, the market just took off. However, the enthusiasm and excitement of the last bull run was clearly missing. It was a small group of players, mostly FIIs, who were raking in the big money.

Still, retail investors got one fair shot at making some decent returns through the Coal India IPO. Investors across all categories bid for shares of India's largest coal producer, as the issue price of Rs 245 was thought attractive. The company aimed to raise around Rs 15,200 crore through the IPO, but got bids in the region of Rs 2.3 lakh crore. The issue was oversubscribed 15 times. Strangely, institutional investors who were complaining about the new rule requiring them to pay the full application money were the most aggressive bidders. The institutional portion of the book was subscribed nearly 25 times, with Rs 1.73 lakh crore's worth of bids coming in. The institutional book in the Reliance Power IPO had attracted Rs 1.89 lakh crore's worth of bids, but there was a crucial difference. Institutions that bid in the Reliance Power IPO had to pay just 10 per cent on application while in the Coal India IPO they had to pay 100 per cent of the application amount.

This supported my long-standing theory that you did not really have to pamper institutional investors with favourable regulations. If they smell an opportunity to make money, they will definitely invest. The retail portion of